BYBLOS BANK SYRIA SA

Chairman's Report to the Board of Directors Based on the Audited Financial Statements For the year 2017

KEY FINANCIAL HIGHLIGHTS & RATIOS

KEY RATIOS

	Dec-15	Dec-16	Dec-17	Budget Dec 2017
A. HIGHLIGHTS (USD Thousands)				
Total Assets	218,880	142,964	154,998	178,228
Net Customer Advances	49,785	24,164	34,988	44,212
Customer Deposits	96,861	73,307	98,631	98,738
Cash & Central Bank	45,024	39,026	52,366	38,491
Due from banks	58,157	50,195	33,471	58,640
Due from head office	53,082	24,461	29,394	29,969
Fixed assets	3,225	2,303	2,903	3,966
Financial Instruments	**6,224**	**757**	**908**	**948**
Foreign Governmental Securities	0	0	0	*0*
Bonds & Fixed Income Securities	5,108	0	0	*0*
Equities	1,116	757	908	*948*
Net Income	19,394	13,353	2,213	1,621
Net operational income	5,790	3,359	3,587	6,030
Operating expenses	3,419	3,509	5,155	5,341
Letters of credit	372	0	0	N/A
Letters of guarantees	59,664	50,609	58,392	N/A
Number of employees	192	200	203	195
of which expatriates	2	2	3	2
Number of branches	10	10	10	9
B. PROFITABILITY				
ROA (Return On Average Assets)*	11.96%	9.60%	1.33%	0.93%
ROE (Return On Average Equity)*	**57.91%**	**36.95%**	**4.59%**	**3.22%**
SYP Interest On Average Earning Assets	8.42%	7.75%	7.59%	8.83%
Average Return on SYP Customers' Loans	11.11%	10.45%	11.13%	11.35%
SYP Average Funding Cost	5.95%	4.73%	5.57%	4.66%
Average Cost of SYP Customers' Deposits	5.90%	4.87%	5.82%	4.96%
SYP Net Interest Spread	**2.47%**	**3.02%**	**2.02%**	**4.16%**
FCY Interest On Average Earning Assets	0.32%	0.42%	0.47%	0.48%
Average Return on FCY Customers' Loans	0.60%	2.16%	0.82%	2.36%
FCY Average Funding Cost	0.35%	0.36%	0.19%	0.30%
Average Cost of FCY Customers' Deposits	0.36%	0.38%	0.19%	0.30%
FCY Net Interest Spread	***-0.02%***	***0.06%***	***0.28%***	***0.19%***
Net Interest Spread	**0.23%**	**0.31%**	**-0.46%**	**0.76%**
Net Interest Margin	**1.89%**	**1.56%**	**1.56%**	**2.97%**
Operating Expenses To Operational Income (Cost-To-Income ratio)**	**59.05%**	**104.48%**	**143.70%**	**88.58%**
Operating Expenses / Average Assets	1.95%	2.33%	2.85%	3.07%
Operating Expenses To average Customer Deposits	3.18%	4.66%	5.26%	34.53%
Net Interest Inc. / Total Operational Inc.**	**64.15%**	**77.36%**	**87.83%**	**82.61%**
Net Commission Inc. / Total Operational Inc.**	21.77%	16.25%	10.22%	12.49%
Net Financial Operations Inc. / Total Operational Inc.**	13.95%	6.39%	0.69%	4.90%
C. LIQUIDITY				
Liquid Assets Ratio	73.73%	79.52%	74.34%	71.31%
FCY offshore liquidity / FCY deposits ***	**124.55%**	**118.00%**	**142.54%**	**N/A**
Current Customer Deposits to Customer Deposits	**49.45%**	**56.92%**	**54.83%**	**52.35%**
SYP Current Customer Deposits to SYP Customer Deposits	37.07%	47.59%	45.23%	41.40%
FCY Current Customer Deposits to FCY Customer Deposits	70.26%	70.02%	94.01%	71.71%
Net Loans to Customer deposits	**51.40%**	**32.96%**	**35.47%**	**44.78%**
SYP Net Loans To SYP Customer Deposits	**84.68%**	**52.13%**	**45.37%**	**66.56%**
SYP Net Loans To SYP Assets	**64.31%**	**49.08%**	**49.50%**	**63.98%**
SYP Placements with Central Bank to SYP Customers' Deposits	28.80%	30.09%	34.74%	15.71%
SYP T-Bills to SYP Customers' Deposits	0.00%	0.00%	0.00%	0.00%
SYP Placements with Banks to SYP Customers' Deposits	0.98%	3.71%	1.89%	2.25%
FCY Net Loans To FCY Deposits	**-4.57%**	**6.07%**	**-4.91%**	**6.29%**
FCY Loans To FCY Assets	**-1.19%**	**1.90%**	**-1.16%**	**1.99%**
FCY Placements with Central Bank to FCY Customers' Deposits	50.15%	52.13%	72.57%	46.99%
FCY T-Bills to FCY Customers' Deposits	0.00%	0.00%	0.00%	0.00%
FCY Placements with Banks to FCY Customers' Deposits	159.35%	159.33%	164.65%	160.35%
Customer Deposits To Total Deposits	59.20%	87.02%	98.00%	91.30%
Interbank Assets To Interbank Liabilities (x)	2.20	9.46	51.80	12.25
D. ASSET QUALITY				
Non-Performing Loans / Gross loans	39%	47%	44%	36%
Coverage Ratio ****	121.5%	125.8%	122.4%	131.6%
E. CURRENCY STRUCTURE				
SYP Customers' Deposits to Customers' Deposits	63%	58%	80%	64%
SYP Customers' Loans to Customers' Loans	103.31%	92.34%	102.73%	94.92%
FCY cash hedging of Capital	36.10%	37.30%	37.30%	N/A
FCY fixed assets hedging of Capital	25.00%	25.00%	25.00%	N/A
F. CONCENTRATION RISK				
Top 10 largest Customers' Deposits to Customers' Deposits	34%	25%	22%	N/A
Top 10 largest Customers' Loans to Gross Customers' Loans	37%	46%	46%	N/A
Largest 10 int. & com. income generator to total Int. & com. Income				
Exchange rate SYP/USD	336.65	517.43	436.00	

EXECUTIVE SUMMARY

During 2017, Byblos Bank Syria recorded a net profit of SYP 965.0 million (USD 2.2 million) decreasing by 86.0% (-SYP 5,944 million/-USD 11.1 million) from the same period of last year but stood higher than budget by 36.6% (+SYP 258.4 million/+USD 706.6 million).

It is worth mentioning that the Syrian pound had considerably depreciated between the end of 2015 and the end of 2016, appreciating again at the end of 2017. In fact, the Syrian Pound reached SYP 336.65/USD at the end of Dec-2015 up to SYP 517.43/USD at the end of Dec-2016 and down again to SYP 436/USD at the end of Dec-2017. This resulted in an unrealized loss of SYP 4,983 million (USD 11.4 million) during the year 2017 compared to an unrealized gain of SYP 10,537 million (USD 20.4 million) last year.

Furthermore all provision for risk and charges were reversed during 2017 amounting to SYP 6,873.2 million (SYP 350 million in Mar-17, SYP 100 million in Sep-17 and the rest in Dec-17) while during 2016 the bank provided for SYP 4 billion. Therefore, after removing all exceptional and non-operating gains/losses in both periods (unrealized gains on structural FX position, provisions and taxes) net operating loss in 2017 would record a net loss of SYP 666.9 million compared to a net loss of SYP 49.0 million in 2016.

(SYP 000's)	Dec-16	Dec-17
Net Interest Income	1,344,325	1,373,744
of which reversed reserved interest	478,443	404,516
Net Commissions	282,343	159,800
Net FX Income/Financial	139,734	27,454
Net Other Income	192	19,760
Total Operating Expenses	(1,815,624)	(2,247,609)
Net Operating Income Before Taxes	**(49,029)**	**(666,851)**
Unrealized Gains of FX	10,536,907	(4,982,561)
(Specific Provisions)/Recoveries	1,387,919	81,040
Collective Provisions for Loans	(618,958)	205,610
Provisions for Exceptional Losses	(4,010,994)	6,873,184
Net Non-Operating Income Before Taxes	**7,294,875**	**2,177,273**
Taxes	(336,598)	(545,460)
Net Income	**6,909,248**	**964,961**

ROA and ROE (excluding unrealized gains on structural Fx position, all provisions, and taxes) stood at -0.92% and -3.17% respectively in Dec-17, as compared to -0.07% and -0.26% respectively in Dec-16.

The bank witnessed a drop of 100 basis points in net SYP interest spread [(a)] during 2017 to reach 2.02% as at end Dec-2017 and increased by 23 basis points during the same period to reach 0.28% in net FCY interest spread [(a)]. Net Interest spread [(a)] in all currencies decreased to reach -0.46% as at end 2017 compared to 0.31% in Dec-16 while net interest margin [(b)] stood stable at 1.56% in the two periods.

Also, cost to income ratio (excluding unrealized gains on structural FX) increased from 104.48% in 2016 to 143.70% in 2017.

(a) Net Interest Spread = (interest Income / average Interest Earning Assets) – (Interest Expenses/Average Interest Bearing Liabilities)

(b) Net Interest Margin = Net Interest Income/Average Interest Earning Assets

Major changes and non-recurring items affecting Byblos Syria during 2017 versus 2016:

Positive effect:	*Dec-16*	*Dec-17*	*Effect*
Provisions (recoveries) for exceptional losses in Syria [(a)]	SYP 4,011M	- SYP 6,873M	+SYP 10,884M
General provisions (recoveries) for loan losses	SYP 619M	- SYP 206M	+SYP 825M

Total = +SYP 11,709M

Negative effect:			
Recoveries of Specific Provisions	SYP 1,388M	SYP 81M	-SYP 1,307M
Unrealized gains (losses) on structural FX position [(c)]	SYP 10,537M	- SYP 4,983M	-SYP 15,520M

Total = -SYP 16,827M

NET = -SYP 5,119M

Net commissions income decreased considerably by 43.4% (-SYP 122.5 million) to reach SYP 159.8 million (USD 366.5 thousand). This decrease in commission was due to the decrease in foreign exchange commissions (part of banking services commissions), which reached SYP 4.0 million in 2017 versus SYP 75.8 million in 2016. Furthermore, commissions received from documentary credits decreased by 75.8% (-SYP 15.9 million). Moreover, the bank had to pay a 1.8% banknotes commission (SYP 37 million) to an exchange institution "Sharekat el Fadel lal Serafa" to be able to retrieve the bank's nostro account amounting to Euro 3.4 million from Cham bank which was sanctioned. The Bank also paid a commission to the Central Bank amounting to SYP 4 million being 1 per mil on cash withdrawals from CBOS. However, commissions received from letters of guarantee increased by 9.3% (+SYP 9.5 million).

Net specific provisions recorded a recovery of SYP 81.0 million in 2017 compared to a recovery of SYP 1,387.9 million in the same period of 2016.

Staff expenses increased by 28.9% (+SYP 285.4 million) during 2017 compared to the same period of 2016 mainly to reach SYP 1,271.7 million as at end Dec-2017 due to:

- Salary increase of 30% for local employees starting Jan-17.
- 50% increase on transportation and schooling allowances and 33% on food allowances starting Jun-16.
- Exchange rate differences on expatriates' salaries and provisions for bonuses between 2016 and 2017.
- Four extra salaries were paid in 2017 based on a higher salary (after 30% merit).

(a) Following BBS Board decision, the bank reversed all provisions for exceptional losses to cover the unrealized losses on the structural FX position due to the appreciation of the Syrian Pound.

(b) Due to SYP devaluation from USD/SYP 336.65 in Dec-15 to USD/SYP 517.43 in Dec-16 while it appreciated again down to USD/SYP 436 as at end 2017.

General expenses increased by 17.2% (+SYP 130.5 million) to reach SYP 888.8 million in 2017 resulting from USD denominated contracts due to the fluctuation of the Syrian pound, the increase in inflationary rates affecting many expenses, and the increase in fuel costs. The main variances in general expenses can be detailed as follows:

- Subscription fees increased by 129.5% (+SYP 34.4 million) to reach SYP 61.0 million as at end Dec-2017. This increase is mainly due to the implementation of a new network system (RTGS) required by the Central bank costing USD 50,000. This was also due to the increase in fees paid to the banking training center in CBOS (3% of budgeted salaries and indemnities) further to the increase in salaries. Moreover, the increase in the fees of DSE (Damascus Stock Exchange) and SCFMS (Syrian Commission on Financial Markets and Security) also played a role in increasing subscription fees.
- Other taxes increased by SYP 24.0 million to reach SYP 26.1 million in 2017 due to the tax on Non-resident salaries and wages paid to the Ministry of finance for the years 2006 to 2016.
- Electricity expense increased by 25.4% (+SYP 21.6 million) to reach SYP 106.8 million as at end 2017 due to the increase in electricity rationing and the increase in fuel prices that reached SYP 550/liter, also to the increase in the price of Kilo Watt hour from SYP 36 in 2016 and SYP 46 in 2017. It should be noted that the bank purchased 8 KVA generators for the branches and 60 KVA for the Head office to be operative outside working hours in order to reduce fuel consumption. It is worth mentioning that the bank paid SYP 5.9 million for electrical works in Mazzeh branch.
- Stationary expenses increased by SYP 15.5 million to reach SYP 54.7 million in 2017 due to the electronic archiving project required by the central bank. The outsourced company started archiving by end of June 2016.
- Premises rent increased by 9.8% (+SYP 9.1 million) to reach SYP 101.5 million in 2017 due to the increase in the rental expenses of Hama and Sweida branches.
- Computer maintenance increased by 18.5% (+SYP 7.5 million) to reach SYP 48.0 million in 2017 since software maintenance contracts are in USD and due to the purchase of IT equipment (mainly DDR and HDD).
- Premises and Burglary insurance increased by 6.4% (+SYP 5.9 million) to reach SYP 99.2 million in 2017 since it is linked to USD. However, a new policy was negotiated with a local re-insurer where the annual premium dropped from US$ 225,000 to US$ 80,000 starting August 2017. To note that USD 15,000 were paid in September for insuring the transportation of the USD notes from Byblos Lebanon to comply with the Central Bank's instructions to bring in cash 10% of BBS exposure with BBL inside Syria.
- Heating and conditioning increased by 21.1% (+SYP 4.7 million) to reach SYP 26.9 million in 2017, due to the increase of fuel price from Mid-January till Mid-March 2017 that reached SYP 550/liter in the black market in Damascus.

Therefore, cost to income ratio (excluding unrealized gains on structural FX) increased from 104.48% in 2016 to 143.70% in 2017, since the increase in operating expenses was coupled by a decrease in operating income in 2017.

It is worth mentioning that during May 2017, the bank sold a fully depreciated used car for SYP 9.5 million while in November 2017 the bank sold an apartment in Jableh acquired in settlement of debt for a net gain of SYP 8.2 million.

GROWTH and RETURN:

See below table of asset and liabilities return and cost by currency:

BALANCE SHEET DENOMINATED IN SYP:

Net ***interest SYP spread*** dropped by 100 basis points **to reach 2.02%** knowing that average interest earning assets denominated in SYP increased by 14.54 % (+SYP 4,666.3 million) while net interest income in SYP decreased by 13.26% (-SYP 166.2 million).

The decrease in the year to date interest spread will be explained as follows:

	Dec-16					Dec-17				Growth (Basis Points)
Interest Earning Assets (Lcy In SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**		**Average**	**Weight**	**Interest Income**	**Avg. Rate**	
Cash & Central Bank	7,730	24.1%				10,087	27.4%			
Due from Banks	633	2.0%	5.7	1%		1,814	4.9%	24.2	1.32%	42
Customer Loans	23,728	73.9%	2,521.3	10.45%		24,857	67.6%	2,804.8	11.13%	68
of which Performing loans	14,979	46.7%	2,138.3	14.04%		16,282	44.3%	2,400.8	14.54%	50
of which Non performing loans	8,749	27.3%	383.0 *	4.31% *		8,575	23.3%	404.0 *	4.65% *	34
Total Interest Earning Assets	**32,091**	**100.0%**	**2,527.0**	**7.75%**		**36,757**	**100.0%**	**2,829.0**	**7.59%**	**-15**

Interest Bearing Liabilities (Lcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**		**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**
Due to Banks	7,638	28.3%	333.3	4.36%		4,138	13.2%	162.5	3.93%	-44
Customer Deposits	19,321	71.7%	940.7	4.87%		27,151	86.8%	1,579.6	5.82%	95
Total Interest Bearing Liabilities	**26,958**	**100.0%**	**1,274.0**	**4.73%**		**31,289**	**100.0%**	**1,742.1**	**5.57%**	**84**
Net SYP Spread			**1,253.0**	**3.02%**				**1,086.9**	**2.02%**	**-100**

(*) Reversal of reserved interest

1. An increase of 95 basis points in the cost of customer deposits to reach 5.82% as at end Dec-17 compared to 4.87% last year due to the increase in the average cost of term deposits between the two periods by 121 basis points or from 8.98% at the end of Dec-16 to reach 10.19% at the end of Dec-17. Moreover, the average weight of customer deposits out of interest bearing liabilities increased from 71.6% to 86.8%.
   This increase in the average cost of SYP deposits took place after it was decided to decrease reliance on bank's borrowings to maintain liquidity regulatory ratios, where deposits for 24 and 25 months were acquired paying 15% and 15.5%. However, this trend started shifting towards shorter-term deposits after Jul-2017 where term deposits were acquired or renewed at an average cost of 8.97% thus reducing the overall cost of term SYP deposits from 10.77% at the end of Jul-2017 to 10.19% at the end of Dec-2017. It should be noted that during Dec. 2017, SYP 3 Billion Term Deposits with 7 months original maturity were liquidated after 3 months of its value date so interests were recomputed at 7% instead of 9%.
2. Excessive liquidity placed at idle funds with the Central Bank and commercial banks, reaching 32% of SYP interest earning assets at the end of Dec-2017 compared to 26% at the end of Dec-2016, decreasing the yield on interest earning assets by 15 basis points to reach 7.59% at the end of Dec-2017 compared to 7.75% at the end of Dec-2016.
3. This was partly offset by the increase of 68 basis points in the yield on customers' loans to reach 11.13% in 2017 compared to 10.45% in 2016. In fact, yield on performing customer loans reached 14.54% at the end of Dec-2017 compared to 14.04% at the end of Dec-2016, while SYP 404 million of reserved interest were recovered compared to SYP 383 million last year.
4. This was also offset by the drop of 44 basis points in the cost of due to banks in SYP to reach 3.93% as at end Dec-17 due to the decrease in the average cost of LCY time placement with the bank from 6.73% in Dec-16 to 6.33% in Dec-17, while its share of average interest bearing liabilities decreased from 28.3% to 13.22% . In fact, all term placements in LCY that matured during 2017 were not renewed (Banque Bemo Saudi Faransi at 7.25%, Bank of Syria and overseas at 7%, bank Audi and QNB at 6.5% and Real estate bank and QNB at 6.0%).

BALANCE SHEET DENOMINATED IN FCY:

Net FCY ***interest spread*** increased by 23 basis points **to reach 0.28%** at end of Dec-17; knowing that average interest earning assets decreased by 6% (-SYP 2,970 million) while net interest income increased by 35.9% (+SYP 53.2 million) mainly due to:

	Dec-16					Dec-17				Growth
Interest Earning Assets (Fcy in SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**		**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**(Basis Points)**
Cash & Central Bank	6,605	13.2%				6,080	13.0%			
Due from Banks	24,468	49.1%	55.9	0.22%		19,745	42.1%	58.8	0.29%	7
Due from Head Office	12,595	25.3%	19.6	0.15%		14,307	30.5%	109.1 **	0.75%	60
Financial Instruments	130	0.3%	4.6	3.51%						-351
Customer Loans	6,059	12.2%	133.1	2.16%		6,756	14.4%	56.7	0.83%	-133
of which Performing loans	1,076	2.2%	38.1	3.49%		691	1.5%	56.7	8.10%	462
of which Non performing loans	4,984	10.0%	95.0 *	1.87% *		6,065	12.9%			-187
Total Interest Earning Assets	**49,857**	**100.0%**	**213.2**	**0.42%**		**46,887**	**100.0%**	**224.6**	**0.47%**	**5**

Interest Bearing Liabilities (Fcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**		**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**
Due to Banks	1,329	7.4%	1.1	0.09%		268	2.2%			-9
Customer Deposits	16,622	92.6%	63.9	0.38%		12,059	97.8%	23.3	0.19%	-19
Total Interest Bearing Liabilities	**17,951**	**100.0%**	**65.1**	**0.36%**		**12,327**	**100.0%**	**23.3**	**0.19%**	**-17**
Net Fcy Spread			**148.2**	**0.06%**				**201.3**	**0.28%**	**23**

(*) Reversal of reserved interest

(**) Excluding Swap

1. Average cost of FCY customer deposits decreased by 19 basis points to reach 0.19% in Dec-17 since the bank is not giving interests on matured FCY deposits except for a few clients. In fact, average current deposits out of average total deposits increased from 73% during the year 2016 to 85% during 2017.
2. Average return on due from head office increased by 60 basis points to reach 0.75% in Dec-17 due to the increase in LIBOR rates.
3. Average return on due from banks increased by 7 basis points to reach 0.29 % as at end Dec-17. This increase was due to the decrease in the average weight of Nostro account out of due from banks from 39.1% to 21.5% between the two periods.
4. On the other hand, average return on FCY customer loans decreased by 133 basis points to reach 0.83% in Dec-17 due to the reversal of reserved interest in 2016 while no reversal of interest was made in 2017. It is worth mentioning that "Sharikat Khaled and Mohamad Khaldoun" which was the only performing client and having an exposure of USD 2 million at 7.5 % interest rate was downgraded to class 5 (doubtful Loans) in September 2017. Therefore, the bank does not have any interest from FCY loans anymore since they are all classified.

LOAN QUALITY:

In SYP Million	Dec-15	Dec-16	Dec-17	Growth (Dec-17/Dec-16) Vol.	%
Watch Loans (Class 3)	4,420	3,368	2,918	-450	-13.4%
Non Performing Loans (Classes 4,5,6)	12,294	14,102	14,440	339	2.4%
TOTAL CLASSIFIED LOANS (CLASSES 3, 4, 5 & 6)	**16,714**	**17,470**	**17,358**	**-111**	**-0.6%**
Specific Provisions for Non-Performing Loans	6,945	7,284	6,654	-631	-8.7%
Collective Provisions	3,970	4,335	3,954	-381	-8.8%
Reserved Interest on Non-Performing Loans	4,026	6,118	7,070	952	15.6%
Real Guarantees*	1,252	695	390	-305	-43.9%
TOTAL PROVISIONS	**16,198**	**18,432**	**18,067**	**-365**	**-2.0%**
Watch Loans / Total Loans	14.04%	11.20%	8.95%		
Non-Performing Loans/ Total Loans	***39.05%***	***46.90%***	***44.29%***		
Total Classified Loans / Total Loans	53.1%	58.1%	53.2%		
Coverage Ratio (a)	***89.24%***	***95.04%***	***95.03%***		
Coverage Ratio (b)	***99.42%***	***99.96%***	***97.73%***		
Coverage Ratio (c)	***96.88%***	***105.51%***	***104.08%***		

(a) Reserved Interest + Specific Provisions / NPLs
(b) Reserved Interest + Specific Provisions + Real Guarantees / NPLs
(c) Total Provisions + Real Guarantees / Total Classified Loans

(*) As per Central Bank of Syria circulars, real guarantees, being cash collaterals and real estate mortgages, are deductible from the exposure and considered part of the coverage.

LCY	31.12.2016			31.12.2017			GROWTH		
	Gross Loans	Reserved Interest	Specific Provisions	Gross Loans	Reserved Interest	Specific Provisions	Gross Loans	Reserved Interest	Specific Provisions
Performing Loans	**14,982**	**0**	**0**	**18,167**	**0**	**0**	**3,184**	**0**	**0**
1	11,616	0	0	15,248	0	0	3,633	0	0
2	0	0	0	0	0	0	0	0	0
3	3,366	0	0	2,918	0	0	(448)	0	0
Non perfoming Loans	**8,554**	**3,778**	**4,154**	**8,229**	**4,459**	**3,438**	**(325)**	**681**	**(717)**
4	31	2	4	9	0	3	(22)	(2)	(1)
5	4	1	1	26	2	1	22	2	0
6	8,518	3,775	4,150	8,193	4,457	3,434	(325)	682	(716)
TOTAL	**23,536**	**3,778**	**4,154**	**26,395**	**4,459**	**3,438**	**2,859**	**681**	**(717)**

FCY	31.12.2016			31.12.2017			GROWTH		
	Gross Loans	Reserved Interest	Specific Provisions	Gross Loans	Reserved Interest	Specific Provisions	Gross Loans	Reserved Interest	Specific Provisions
Performing Loans	**984**	**0**	**0**	**0**	**0**	**0**	**(984)**	**0**	**0**
1	984	0	0	0	0	0	(984)	0	0
2	0	0	0	0	0	0	0	0	0
3	0	0	0	0	0	0	0	0	0
Non perfoming Loans	**5,548**	**2,340**	**3,130**	**6,212**	**2,610**	**3,216**	**664**	**271**	**86**
4	0	0	0	0	0	0	0	0	0
5	0	0	0	889	17	542	889	17	542
6	5,548	2,340	3,130	5,322	2,594	2,674	(226)	254	(456)
TOTAL	**6,532**	**2,340**	**3,130**	**6,212**	**2,610**	**3,216**	**(320)**	**271**	**86**

TOTAL	31.12.2016			31.12.2017			GROWTH		
	Gross Loans	Reserved Interest	Specific Provisions	Gross Loans	Reserved Interest	Specific Provisions	Gross Loans	Reserved Interest	Specific Provisions
Performing Loans	**15,966**	**0**	**0**	**18,167**	**0**	**0**	**2,201**	**0**	**0**
1	12,600	0	0	15,248	0	0	2,649	0	0
2	0	0	0	0	0	0	0	0	0
3	3,366	0	0	2,918	0	0	(448)	0	0
Non perfoming Loans	**14,102**	**6,118**	**7,284**	**14,440**	**7,070**	**6,654**	**338**	**952**	**(631)**
4	31	2	4	9	0	3	(22)	(2)	(1)
5	4	1	1	916	19	543	911	19	542
6	14,066	6,115	7,280	13,516	7,050	6,108	(551)	936	(1,172)
	0	0	0	0	0	0	0	0	0
TOTAL	**30,068**	**6,118**	**7,284**	**32,607**	**7,070**	**6,654**	**2,539**	**952**	**(631)**

As mentioned before, the bank downgraded "Sharikat Khaled and Mohamad Khaldoun" from performing to doubtful loans in September 2017 for a total exposure of US$ 2 million whereby total foreign currency loans portfolio became classified.
Total classified loans reached 53.2% of the total portfolio at the end of Dec-2017 down from 58.1% at the end of Dec-2016, where SYP 732 million (20 clients) were upgraded from watch loans to normal loans.
It is worth mentioning that 8 classified customers were upgraded from doubtful to watch loans having a total exposure of SYP 699 million.

Excluding acceptable guarantees, coverage ratio reached 95.03% in 2017 compared to 95.04% in 2016.

BREAKDOWN OF LOAN PORTFOLIO BY INDUSTRY, LINE OF BUSINESS

Byblos Bank Syria								
Gross Total Loans (000's SYP) (including NPL)	**Dec/15**	**% of total**	**Dec/16**	**% of total**	**Dec/17**	**% of total**	**Growth Dec 17-Dec 16**	
Agriculture	489,137	1.55%	1,354,477	4.50%	1,145,860	3.51%	-208,617	-15.4%
Industry	14,441,221	45.87%	15,016,945	49.94%	16,602,759	50.92%	1,585,814	10.6%
Construction	730,126	2.32%	1,372,719	4.57%	996,231	3.06%	-376,488	-27.4%
Trade (Wholesale & Retail)	13,394,968	42.55%	10,859,405	36.12%	12,381,962	37.97%	1,522,556	14.0%
Services	891,717	2.83%	261,906	0.87%	121,333	0.37%	-140,573	-53.7%
Others	446,987	1.42%	2,665	0.01%	2,372	0.01%	-293	-11.0%
Retail	**1,085,584**	**3.45%**	**1,199,950**	**3.99%**	**1,356,585**	**4.16%**	**156,635**	**13.1%**
Auto Loans	172,135	0.55%	246,242	0.82%	237,002	0.73%	-9,241	-3.8%
Business Loans	5,251	0.02%	6,085	0.02%	1,276	0.00%	-4,809	-79.0%
Personal Loans	72,379	0.23%	97,268	0.32%	94,426	0.29%	-2,842	-2.9%
Housing Loans	824,775	2.62%	835,078	2.78%	1,008,373	3.09%	173,296	20.8%
Credit Cards	11,044	0.04%	15,276	0.05%	15,508	0.05%	231	1.5%
Total	**31,479,741**	**100.00%**	**30,068,067**	**100.00%**	**32,607,103**	**100.00%**	**2,539,035**	**8.4%**

Gross loans increased by 8.4% (+SYP 2,539 million) to reach SYP 32,607 million at the end of Dec-17 and the major increase witnessed was in the trade sector which grew by 14.0% (+SYP 1,523 million) and represented 38% of total gross loans. Loans granted to the industry sector increased by 10.6% representig the highest share of total gross loans which reached 50.9% in Dec-17. All of the remaining sectors within commercial loans recorded a decrease between Dec-16 and Dec-17.
Retail loans increased by 13.1% (+SYP 157 million) to reach SYP 1,357 million at the end of Dec-17 and represented 4.2% of total gross loans. The only increase witnessed was in housing loans which grew by 20.8% (+SYP 173 million) due to a new housing loan given to one client amounting to SYP 330 million with 16% interest rate. All of the other retail loans recorded a decrease between the two periods (except for cards which increased slighlty by 1.5%).

LIQUIDITY

% of Assets	Dec-15	Dec-16	Dec-17
Cash	4.3%	7.2%	6.9%
Due from Central Bank	16.3%	20.1%	26.8%
Treasury Bills, Bonds & investments with fixed income	2.3%	0.0%	0.0%
Due from Local Banks	6.0%	9.6%	3.8%
Due from Foreign Banks (Offshore)	20.6%	25.2%	17.8%
Due from Head Office	24.3%	17.1%	19.0%
Total Liquid Assets	**73.7%**	**79.5%**	**74.34%**
Net Loans	22.7%	16.9%	22.6%

The bank is highly liquid where liquid assets represented 74.3% of total assets at the end of Dec-17 compared to 79.5% at the end of Dec-16.

	Dec-15	Dec-16	Dec-17
SYP Net Loans / SYP Customer Deposits	85%	52%	45%
SYP Net Placements with Banks / SYP Customer Deposits*	-13%	10%	35%
FCY Net Loans / FCY Customer Deposits	-5%	6%	-5%
FCY Net Placements with Banks / FCY Customer Deposits*	243%	290%	386%

Net SYP loans to SYP customers' deposits stood at 45% at the end of Dec-17 compared to 52% at the end of Dec-16.
It is worth mentioning that the Central Bank of Syria issued a new circular CMC 52 on 14.09.2017, which sets tight criteria, and controls on the lending of Retail and Commercial clients.
Moreover, as per regulatory requirements, the bank is required to maintain 20% of SYP funding sources and 30% of all currency funding sources in immediate liquidity where these ratios reached 38.35% and 94.9% respectively at the end of Dec-17.

MOVEMENT OF EQUITY

Movement of Equity	Balance at 01.01.2017	Net Income	Appropriation of Income	Balance at 31.12.2017
Capital	6,120,000,000	-	-	**6,120,000,000**
Legal Reserve	93,013,352	-	649,298,263	**742,311,615**
Specific Reserve	3,013,352	-	649,298,263	**652,311,615**
General Reserve for credit risk	221,208,000	-	-	**221,208,000**
Profit of the Year	-	964,960,908	(964,960,908)	**-**
Accumulated Realized Losses	(12,051,357,701)	-	4,648,925,692	**(7,402,432,009)**
Accumulated Unrealized Gains	26,988,945,154	-	(4,982,561,310)	**22,006,383,844**
Total Equity	**21,374,822,157**	**964,960,908**	**-**	**22,339,783,065**

APPENDIX 1: BALANCE SHEET

Balance Sheet by Currency (Local Currency)

Byblos Bank Syria									
ASSETS (LCY)					**Growth Dec-17 / Dec-16**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Cash	928,035	1,861,822	1,612,385	1,326,977	(534,846)	-28.7%	2,366,421	(1,039,444)	-43.9%
Central Banks	5,889,013	6,663,550	13,978,566	11,997,617	5,334,066	80.0%	4,319,400	7,678,217	177.8%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	375,539	391,797	397,302	395,989	4,192	1.1%	413,229	(17,240)	-4.2%
Due from Banks	200,687	821,409	1,046,433	653,943	(167,466)	-20.4%	619,825	34,118	5.5%
Placements with H.O., Sister & subsidiaries	0	0	0	0	0	0.0%	0	0	0.0%
Customer Loans (Net)	17,315,573	11,545,059	13,842,057	15,670,638	4,125,579	35.7%	18,297,397	(2,626,759)	-14.4%
Gross Loans (Total)	*27,132,789*	*23,536,323*	*25,636,950*	*26,395,301*	2,858,977	12.1%	*29,593,980*	*(3,198,679)*	*-10.8%*
- Gross Commercial Loans	*17,747,960*	*14,249,619*	*16,046,414*	*17,215,719*	2,966,101	20.8%	*20,418,743*	*(3,203,024)*	*-15.7%*
- Gross Retail Loans	*749,782*	*732,732*	*970,191*	*950,963*	218,231	29.8%	*1,736,983*	*(786,021)*	*-45.3%*
- Gross Doubtful Loans	*8,635,047*	*8,553,973*	*8,620,345*	*8,228,619*	(325,354)	-3.8%	*7,438,254*	*790,365*	*10.6%*
- Accrued Interest &Interest received in advance	*220,683*	*170,613*	*304,627*	*324,803*	154,190	90.4%	*232,030*	*92,773*	*40.0%*
- Less: Reserved Interest	*(2,771,355)*	*(3,778,077)*	*(4,621,444)*	*(4,459,496)*	(681,419)	18.0%	*(3,833,595)*	*(625,901)*	*16.3%*
- Less: Specific Provisions	*(4,604,491)*	*(4,154,237)*	*(3,618,174)*	*(3,437,998)*	716,239	-17.2%	*(3,659,889)*	*221,891*	*-6.1%*
- Less: General & Collective Provisions	*(2,662,054)*	*(4,229,564)*	*(3,859,902)*	*(3,151,972)*	1,077,592	-25.5%	*(4,035,130)*	*883,157*	*-21.9%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	1,085,671	1,191,706	1,262,710	1,265,491	73,785	6.2%	1,729,291	(463,800)	-26.8%
Other Assets	1,128,825	1,046,604	984,926	348,196	(698,409)	-66.7%	853,852	(505,656)	-59.2%
Total Assets	**26,923,344**	**23,521,948**	**33,124,378**	**31,658,850**	**8,136,902**	**34.6%**	**28,599,415**	**3,059,435**	**10.7%**

LIABILITIES AND EQUITY (LCY)					**Growth Dec-17 / Dec-16**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Due to Banks & Financial Institutions	8,716,330	5,344,717	434,158	629,419	(4,715,299)	-88.2%	3,791,765	(3,162,347)	-83.4%
Due to H.O., Sister & Subsidiaries	0	313	0	0	(313)	-100.0%	0	0	0.0%
Customer Deposits	20,447,656	22,145,805	36,881,571	34,536,590	12,390,785	56.0%	27,491,976	7,044,614	25.6%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	680,677	583,175	989,210	1,145,881	562,705	96.5%	566,150	579,731	102.4%
Provisions for Risk & Charges	2,231,968	4,780,116	5,526,912	26,935	(4,753,181)	-99.4%	5,019,410	(4,992,476)	-99.5%
Total Equity	14,465,574	21,374,822	16,319,541	22,339,783	964,961	4.5%	22,463,165	(123,382)	-0.5%
Total Liabilities & Equity	**46,542,204**	**54,228,948**	**60,151,391**	**58,678,608**	**4,449,659**	**8.2%**	**59,332,467**	**(653,859)**	**-1.1%**

Balance Sheet by Currency (Foreign Currency)

Byblos Bank Syria									
ASSETS (FCY)					**Growth Dec-17 / Dec-16**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Cash	2,241,831	3,439,008	3,748,245	3,362,828	(76,180)	-2.2%	2,785,285	577,543	20.7%
Central Banks	6,098,569	8,229,013	6,135,789	6,143,952	(2,085,061)	-25.3%	7,310,869	(1,166,917)	-16.0%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	1,719,638	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	0	0	0	0	0	0.0%	0	0	0.0%
Due from Banks	19,377,980	25,150,954	13,848,008	13,939,539	(11,211,414)	-44.6%	24,947,082	(11,007,542)	-44.1%
Placements with H.O., Sister & subsidiaries	17,869,994	12,657,112	12,995,321	12,815,981	158,869	1.3%	13,066,666	(250,686)	-1.9%
Customer Loans (Net)	(555,553)	958,146	396,000	(415,814)	(1,373,960)	-143.4%	979,052	(1,394,866)	-142.5%
Gross Loans (Total)	*4,346,952*	*6,531,744*	*6,147,402*	*6,211,802*	(319,942)	-4.9%	*6,516,868*	*(305,066)*	*-4.7%*
- Gross Commercial Loans	*688,038*	*983,790*	*10*	*27*	(983,763)	-100.0%	*989,254*	*(989,227)*	*-100.0%*
- Gross Retail Loans	*0*	*0*	*0*	*0*	0	0.0%	*0*	*0*	*0.0%*
- Gross Doubtful Loans	*3,658,914*	*5,547,954*	*6,147,392*	*6,211,774*	663,821	12.0%	*5,527,614*	*684,160*	*12.4%*
- Accrued Interest &Interest received in advance	*828*	*1,495*	*0*	*0*	(1,495)	-100.0%	*1,414*	*(1,414)*	*-100.0%*
- Less: Reserved Interest	*(1,255,098)*	*(2,339,660)*	*(2,541,791)*	*(2,610,289)*	(270,630)	11.6%	*(2,302,256)*	*(308,034)*	*13.4%*
- Less: Specific Provisions	*(2,340,596)*	*(3,129,989)*	*(3,209,611)*	*(3,215,887)*	(85,898)	2.7%	*(3,054,138)*	*(161,749)*	*5.3%*
- Less: General & Collective Provisions	*(1,307,639)*	*(105,444)*	*0*	*(801,439)*	(695,995)	660.1%	*(182,836)*	*(618,603)*	*338.3%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	0	0	0	0	0	0.0%	0	0	0.0%
Other Assets	10,276	17,456	87,275	73,576	56,120	321.5%	18,846	54,730	290.4%
Total Assets	**46,762,735**	**50,451,688**	**37,210,639**	**35,920,061**	**(14,531,627)**	**-28.8%**	**49,107,799**	**(13,187,738)**	**-26.9%**

LIABILITIES AND EQUITY (FCY)					**Growth Dec-17 / Dec-16**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Due to Banks & Financial Institutions	222,740	313,656	248,472	249,986	(63,670)	-20.3%	311,871	(61,885)	-19.8%
Due to H.O., Sister & Subsidiaries	13,530,813	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	12,160,711	15,785,692	8,839,950	8,466,310	(7,319,382)	-46.4%	15,557,957	(7,091,647)	-45.6%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	107,574	173,944	156,190	170,263	(3,681)	-2.1%	321,870	(151,607)	-47.1%
Provisions for Risk & Charges	1,122,037	3,471,396	939,013	13,745	(3,457,652)	-99.6%	2,183,049	(2,169,304)	-99.4%
Total Equity	0	0	0	0	0	0.0%	0	0	0.0%
Total Liabilities & Equity	**27,143,874**	**19,744,688**	**10,183,626**	**8,900,303**	**(10,844,384)**	**-54.9%**	**18,374,747**	**(9,474,443)**	**-51.6%**

Balance Sheet by Currency (Total C/v. SYP Thousands):

Byblos Bank Syria									
ASSETS					**Growth Dec-17 / Dec-16**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Cash	3,169,866	5,300,830	5,360,631	4,689,804	(611,026)	-11.5%	5,151,705	(461,901)	-9.0%
Central Banks	11,987,582	14,892,563	20,114,356	18,141,569	3,249,006	21.8%	11,630,268	6,511,300	56.0%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	1,719,638	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	375,539	391,797	397,302	395,989	4,192	1.1%	413,229	(17,240)	-4.2%
Due from Banks	19,578,667	25,972,363	14,894,441	14,593,482	(11,378,880)	-43.8%	25,566,907	(10,973,424)	-42.9%
Placements with H.O., Sister & subsidiaries	17,869,994	12,657,112	12,995,321	12,815,981	158,869	1.3%	13,066,666	(250,686)	-1.9%
Customer Loans (Net)	16,760,020	12,503,205	14,238,056	15,254,824	2,751,619	22.0%	19,276,449	(4,021,625)	-20.9%
Gross Loans (Total)	*31,479,741*	*30,068,067*	*31,784,352*	*32,607,103*	2,539,035	8.4%	*36,110,848*	*(3,503,746)*	*-9.7%*
- Gross Commercial Loans	*18,435,998*	*15,233,409*	*16,046,423*	*17,215,747*	1,982,338	13.0%	*21,407,997*	*(4,192,250)*	*-19.6%*
- Gross Retail Loans	*749,782*	*732,732*	*970,191*	*950,963*	218,231	29.8%	*1,736,983*	*(786,021)*	*-45.3%*
- Gross Doubtful Loans	*12,293,961*	*14,101,927*	*14,767,738*	*14,440,393*	338,466	2.4%	*12,965,868*	*1,474,525*	*11.4%*
- Accrued Interest &Interest received in advance	*221,512*	*172,108*	*304,627*	*324,803*	152,695	88.7%	*233,444*	*91,359*	*39.1%*
- Less: Reserved Interest	*(4,026,453)*	*(6,117,737)*	*(7,163,235)*	*(7,069,785)*	(952,049)	15.6%	*(6,135,850)*	*(933,935)*	*15.2%*
- Less: Specific Provisions	*(6,945,087)*	*(7,284,226)*	*(6,827,786)*	*(6,653,886)*	630,341	-8.7%	*(6,714,027)*	*60,141*	*-0.9%*
- Less: General & Collective Provisions	*(3,969,693)*	*(4,335,008)*	*(3,859,902)*	*(3,953,411)*	381,597	-8.8%	*(4,217,966)*	*264,555*	*-6.3%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	1,085,671	1,191,706	1,262,710	1,265,491	73,785	6.2%	1,729,291	(463,800)	-26.8%
Other Assets	1,139,101	1,064,060	1,072,201	421,771	(642,289)	-60.4%	872,698	(450,926)	-51.7%
Total Assets	**73,686,079**	**73,973,636**	**70,335,017**	**67,578,911**	**(6,394,725)**	**-8.6%**	**77,707,214**	**(10,128,303)**	**-13.0%**

LIABILITIES AND EQUITY					**Growth Dec-17 / Dec-16**		**Budget**	**iance with Bud**	**0**
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Due to Banks & Financial Institutions	8,939,069	5,658,373	682,630	879,405	(4,778,969)	-84.5%	4,103,637	(3,224,232)	-78.6%
Due to H.O., Sister & Subsidiaries	13,530,813	313	0	0	(313)	-100.0%	0	0	0.0%
Customer Deposits	32,608,367	37,931,497	45,721,522	43,002,900	5,071,403	13.4%	43,049,933	(47,033)	-0.1%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	788,251	757,119	1,145,400	1,316,144	559,025	73.8%	888,020	428,124	48.2%
Provisions for Risk & Charges	3,354,004	8,251,512	6,465,925	40,679	(8,210,833)	-99.5%	7,202,459	(7,161,780)	-99.4%
Total Equity	14,465,574	21,374,822	16,319,541	22,339,783	964,961	4.5%	22,463,165	(123,382)	-0.5%
Total Liabilities & Equity	**73,686,079**	**73,973,636**	**70,335,018**	**67,578,911**	**(6,394,725)**	**-8.6%**	**77,707,214**	**(10,128,303)**	**-13.0%**

Balance Sheet (Total C/v. USD Thousands):

Byblos Bank Syria									
ASSETS					**Growth Dec-17 / Dec-16**		**Budget**	**Variance with Budget**	
In USD 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Cash	9,416	10,245	12,295	10,756	512	5.0%	11,816	(1,059)	-9.0%
Central Banks	35,608	28,782	46,134	41,609	12,827	44.6%	26,675	14,934	56.0%
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	5,108	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	1,116	757	911	908	151	19.9%	948	(40)	-4.2%
Due from Banks	58,157	50,195	34,162	33,471	(16,724)	-33.3%	58,640	(25,168)	-42.9%
Placements with H.O., Sister & subsidiaries	53,082	24,461	29,806	29,394	4,933	20.2%	29,969	(575)	-1.9%
Customer Loans (Net)	49,785	24,164	32,656	34,988	10,824	44.8%	44,212	(9,224)	-20.9%
Gross Loans (Total)	*93,509*	*58,110*	*72,900*	*74,787*	16,677	28.7%	*82,823*	*(8,036)*	*-9.7%*
- Gross Commercial Loans	*54,763*	*29,441*	*36,804*	*39,486*	10,045	34.1%	*49,101*	*(9,615)*	*-19.6%*
- Gross Retail Loans	*2,227*	*1,416*	*2,225*	*2,181*	765	54.0%	*3,984*	*(1,803)*	*-45.3%*
- Gross Doubtful Loans	*36,519*	*27,254*	*33,871*	*33,120*	5,866	21.5%	*29,738*	*3,382*	*11.4%*
- Accrued Interest &Interest received in advance	*658*	*333*	*699*	*745*	412	124.0%	*535*	*210*	*39.1%*
- Less: Reserved Interest	*(11,960)*	*(11,823)*	*(16,429)*	*(16,215)*	(4,392)	37.1%	*(14,073)*	*(2,142)*	*15.2%*
- Less: Specific Provisions	*(20,630)*	*(14,078)*	*(15,660)*	*(15,261)*	(1,184)	8.4%	*(15,399)*	*138*	*-0.9%*
- Less: General & Collective Provisions	*(11,792)*	*(8,378)*	*(8,853)*	*(9,067)*	(689)	8.2%	*(9,674)*	*607*	*-6.3%*
Acceptance	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	3,225	2,303	2,896	2,903	599	26.0%	3,966	(1,064)	-26.8%
Other Assets	3,384	2,056	2,459	967	(1,089)	-53.0%	2,002	(1,034)	-51.7%
Total Assets	**218,880**	**142,964**	**161,319**	**154,998**	**12,034**	**8.4%**	**178,228**	**(23,230)**	**-13.0%**

LIABILITIES AND EQUITY					**Growth Dec-17 / Dec-16**		**Budget**	**Vasiance with Budget**	
In USD 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Due to Banks & Financial Institutions	26,553	10,936	1,566	2,017	(8,919)	-81.6%	9,412	(7,395)	-78.6%
Due to H.O., Sister & Subsidiaries	40,193	1	0	0	(1)	-100.0%	0.0	0	0.0%
Customer Deposits	96,861	73,307	104,866	98,631	25,323	34.5%	98,738	(108)	-0.1%
Acceptances	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	2,341	1,463	2,627	3,019	1,555	106.3%	2,037	982	48.2%
Provisions for Risk & Charges	9,963	15,947	14,830	93	(15,854)	-99.4%	16,519	(16,426)	-99.4%
Total Equity	42,969	41,310	37,430	51,238	9,928	24.0%	51,521	(283)	-0.5%
Total Liabilities & Equity	**218,880**	**142,964**	**161,319**	**154,998**	**12,034**	**8.4%**	**178,228**	**(23,230)**	**-13.0%**
Exchange Rates	**336.65**	**517.43**	**436.00**	**436.00**					

APPENDIX 2: INCOME STATEMENT

Profit & Loss (in SYP Thousands):

Profitability									
INCOME AND EXPENSES					**Growth Dec-17/ Dec-16**		**Budget**	**Variance with Budget**	
In SYP 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Interest Income	**2,970,966**	**2,740,263**	**2,692,924**	**3,139,180**	**398,917**	**14.6%**	**3,645,943**	**(506,763)**	**-13.9%**
Governmental Securities	0	0	0	0	0	0.0%	0	0	0.0%
Deposits and similar accounts with banks & financial institutions	2,666	61,586	79,360	83,007	21,420	34.8%	105,588	(22,581)	-21.4%
Deposits with HO, holding company,branches, affiliates	2,119	19,583	166,456	194,653	175,071	894.0%	20,849	173,805	833.6%
Bonds and similar financial instruments with fixed income	70,388	4,634	0	0	(4,634)	-100.0%	0	0	0.0%
Loans & advances to customers	2,836,758	2,614,176	2,417,751	2,827,174	212,998	8.1%	3,465,951	(638,778)	-18.4%
2 per mille - Highest debit commission	59,034	40,284	29,357	34,346	(5,938)	-14.7%	53,555	(19,209)	-35.9%
Interest Paid	**1,720,461**	**1,395,938**	**1,586,200**	**1,765,436**	**369,498**	**26.5%**	**1,474,277**	**291,159**	**19.7%**
Deposits and similar accounts from banks & financial institutions	**344,704**	334,433	162,501	162,501	(171,931)	-51.4%	127,512	34,989	27.4%
Deposits from HO, holding company,branches, affiliates	**28,252**	56,892	0	0	(56,891)	-100.0%	54,018	(54,018)	-100.0%
Customer deposits & other creditor accounts	**1,346,750**	1,004,442	1,423,385	1,602,219	597,777	59.5%	1,292,747	309,472	23.9%
Related parties deposits	**755**	171	313	715	544	317.7%	0	715	0.0%
Net Interest Income Before Provisions	**1,250,505**	**1,344,325**	**1,106,725**	**1,373,744**	**29,419**	**2.2%**	**2,171,666**	**(797,922)**	**-36.7%**
Net Provisions	**(873,791)**	**(1,387,919)**	**76,254**	**(81,040)**	**1,306,879**	**-94.2%**	**(592,000)**	510,960	-86.3%
Net Interest Income After Provisions	**2,124,296**	**2,732,245**	**1,030,470**	**1,454,784**	**(1,277,460)**	**-46.8%**	**2,763,666**	**(1,308,882)**	**-47.4%**
Commissions Received	**425,764**	**285,726**	**188,918**	**204,254**	**(81,472)**	**-28.5%**	**332,580**	**(128,326)**	**-38.6%**
Documentary Credits	13,867	21,016	5,068	5,084	(15,932)	-75.8%	11,572	(6,487)	-56.1%
Acceptances	19,648	8,698	874	874	(7,823)	-89.9%	22,948	(22,074)	-96.2%
Letters of Guarantee	97,287	101,781	102,383	111,232	9,450	9.3%	115,023	(3,791)	-3.3%
Banking Services	294,962	154,231	80,592	87,064	(67,168)	-43.6%	183,037	(95,974)	-52.4%
Commission Paid	**1,475**	**3,383**	**40,396**	**44,454**	**41,071**	**1214.0%**	**4,165**	**40,290**	**967.4%**
Net commission Income	**424,289**	**282,343**	**148,521**	**159,800**	**(122,543)**	**-43.4%**	**328,416**	**(168,616)**	**-51.3%**
FX Income (Net)	**271,959**	**110,977**	**4,406**	**10,762**	**(100,214)**	**-90.3%**	**128,878**	**(118,116)**	**-91.6%**
Unrealized Structural FX Income (Loss)	**7,938,147**	**10,536,907**	**(4,982,561)**	**(4,982,561)**	**(15,519,469)**	**-147.3%**	**0**	**(4,982,561)**	**0.0%**
Income from Financial Operations (Net)	**0**	**0**	**0**	**0**	**0**	**0.0%**	**0**	**0**	**0.0%**
Out of which Realized Gains	0	0	0	0	0	0.0%		**0**	**0.0%**
Net Other Operating Income (Expense)	**2,565**	**192**	**19,815**	**19,760**	**19,567**	**10167.5%**	**0**	**19,760**	**0.0%**
Total Operating Income	**10,761,256**	**13,662,664**	**(3,779,348)**	**(3,337,455)**	**(17,000,119)**	**-124.4%**	**3,220,960**	**(6,558,415)**	**-203.6%**
EXPENSES									
Salaries & employees benefits	615,353	986,316	1,153,686	1,271,699	285,382	28.9%	1,243,322	28,377	2.3%
Other operating expenses	475,332	758,203	796,578	888,750	130,548	17.2%	813,804	74,946	9.2%
Management Agreement	0	0	(0)	(0)	(0)	-90100.0%	166,920	(166,920)	-100.0%
Depreciations	60,412	71,105	79,214	87,161	16,056	22.6%	104,800	(17,639)	-16.8%
Total Operating Expenses	**1,151,097**	**1,815,624**	**2,029,478**	**2,247,609**	**431,985**	**23.8%**	**2,328,846**	**(81,237)**	**-3.5%**
Net Income before taxes	**9,610,160**	**11,847,040**	**(5,808,826)**	**(5,585,064)**	**(17,432,104)**	**-147.1%**	**892,114**	**(6,477,178)**	**-726.0%**
Dividends from Subsidiaries & or Sister Co's	24,102	28,758	18,005	16,692	(12,066)	-42.0%	37,500	(20,808)	-55.5%
Provisions for extraordinary loss	3,049,932	4,010,994	(450,000)	(6,873,184)	(10,884,178)	-271.4%	0	(6,873,184)	0.0%
General and Collective Provisions	(109,254)	618,958	(285,541)	(205,610)	(824,568)	-133.2%	0	(205,610)	0.0%
Taxes	164,761	336,598	0	545,460	208,862	62.1%	223,029	322,432	144.6%
NET INCOME	**6,528,823**	**6,909,248**	**(5,055,281)**	**964,961**	**(5,944,287)**	**-86.0%**	**706,586**	**258,376**	**36.6%**

Profit & Loss (C/v. USD Thousands):

Profitability									
INCOME AND EXPENSES					**Growth Dec-17/ Dec- 16**		**Budget**	**Variance with Budget**	
In USD 000's	**Dec-15**	**Dec-16**	**Nov-17**	**Dec-17**	**Vol.**	**%**	**Dec-17**	**Vol.**	**%**
Interest Income	**8,825**	**5,296**	**6,176**	**7,200**	**1,904**	**36.0%**	**8,362**	**(1,162)**	**-13.9%**
Deposits and similar accounts with banks & financial institutions	8	119	182	190	71	60.0%	242	(52)	-21.4%
Deposits with HO, holding company,branches, affiliates	6	38	382	446	409	1079.7%	48	399	833.6%
Bonds and similar financial instruments with fixed income	209	9	0	0	(9)	-100.0%	0	0	0.0%
Loans & advances to customers	8,426	5,052	5,545	6,484	1,432	28.3%	7,949	(1,465)	-18.4%
2 per mille - Highest debit commission	175	78	67	79	1	1.2%	123	(44)	-35.9%
Interest Paid	**5,111**	**2,698**	**3,638**	**4,049**	**1,351**	**50.1%**	**3,381**	**668**	**19.7%**
Deposits and similar accounts from banks & financial institutions	1,024	646	373	373	(274)	-42.3%	292	80	27.4%
Deposits from HO, holding company,branches, affiliates	84	110	0	0	(110)	-100.0%	124	(124)	-100.0%
Customer deposits & other creditor accounts	4,000	1,941	3,265	3,675	1,734	89.3%	2,965	710	23.9%
Related parties deposits	2	0	1	2	1	395.7%	0	2	0.0%
Net Interest Income Before Provisions	**3,715**	**2,598**	**2,538**	**3,151**	**553**	**21.3%**	**4,981**	**(1,830)**	**-36.7%**
Net Provisions	**(2,596)**	**(2,682)**	**175**	**(186)**	2,496	-93.1%	(1,358)	1,172	-86.3%
Net Interest Income After Provisions	**6,310**	**5,280**	**2,363**	**3,337**	(1,944)	**-36.8%**	**6,339**	**(3,002)**	**-47.4%**
Commissions Received	**1,265**	**552**	**433**	**468**	**(84)**	**-15.2%**	**763**	**(294)**	**-38.6%**
Documentary Credits	41	41	12	12	(29)	-71.3%	27	(15)	-56.1%
Acceptances	58	17	2	2	(15)	-88.1%	53	(51)	-96.2%
Letters of Guarantee	289	197	235	255	58	29.7%	264	(9)	-3.3%
Banking Services	876	298	185	200	(98)	-33.0%	420	(220)	-52.4%
Commission Paid	4	7	93	102	95	1459.4%	10	92	967.4%
Net commission Income	**1,260**	**546**	**341**	**367**	(179)	**-32.8%**	**753**	**(387)**	**-51.3%**
FX Income (Net)	**808**	**214**	**10**	**25**	(190)	**-88.5%**	**296**	**(271)**	**-91.6%**
Unrealized Strucutral FX Income (Loss)	**23,580**	**20,364**	**(11,428)**	**(11,428)**	(31,792)	**-156.1%**	**0.0**	**(11,428)**	**0.0%**
Income from Financial Operations (Net)	**0**	**0**	**0**	**0**	0	**0.0%**	**0**	**0**	**0.0%**
Net Other Operating Income (Expense)	**8**	**0**	**45**	**45**	45	**12085.1%**	**0**	**45**	**0.0%**
Total Operating Income	**31,966**	**26,405**	**(8,668)**	**(7,655)**	(34,060)	**-129.0%**	**7,388**	**(15,042)**	**-203.6%**
EXPENSES									
Salaries & employees benefits	1,828	1,906	2,646	2,917	1,011	53.0%	2,852	65	2.3%
Other operating expenses	1,412	1,465	1,827	2,038	573	39.1%	1,867	172	9.2%
Management Agreement	0	0	(0)	(0)	(0)	-106908.9%	383	(383)	-100.0%
Depreciations	179	137	182	200	62	45.5%	240	(40)	-16.8%
Total Operating Expenses	**3,419**	**3,509**	**4,655**	**5,155**	**1,646.1**	**46.9%**	**5,341**	**(186)**	**-3.5%**
Net Income before taxes	**28,546**	**22,896**	**(13,323)**	**(12,810)**	**(35,706)**	**-155.9%**	**2,046**	**(14,856)**	**-726.0%**
Dividends from Subsidiaries & or Sister Co's	72	56	41	38	(17)	-31.1%	86	(48)	-55.5%
Provisions for extraordinary loss	9,060	7,752	(1,032)	(15,764)	(23,516)	-303.4%	0	(15,764)	0.0%
General and Collective Provisions	(325)	1,196	(655)	(472)	(1,668)	-139.4%	0	(472)	0.0%
Collective provisions on Financial Instruments	0	0	0	0	0	0.0%		0	0.0%
Taxes	489	651	0	1,251	601	92.3%	512	740	144.6%
NET INCOME	**19,394**	**13,353**	**(11,595)**	**2,213**	**(11,140)**	**-83.4%**	**1,621**	**593**	**36.6%**
Exchange Rates	**336.65**	**517.43**	**436.00**	**436.00**					